MGT 202: Small Business Management

Chapter 4 - Franchising and Buying an Existing Business

These notes support the **SBM SA 2e Chapter 4**. They explain the key concepts, illustrate their application and guide you through evaluating two routes into entrepreneurship: **operating a franchise** and **buying an existing business**.

The chapter also introduces independent contracting and the gig and sharing economies. A short supplementary section explains these concepts at the end.

Learning objectives

After studying this chapter, you should be able to:

1. Define franchising and explain franchise terminology.
2. Explain the advantages and disadvantages of franchising and the main franchising arrangements.
3. Describe the process for evaluating a franchise opportunity.
4. Explain four reasons for buying an existing business.
5. Describe the process for evaluating an existing business.

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1. Alternative routes into entrepreneurship

An entrepreneur does not always have to develop a business from the beginning. They may enter entrepreneurship by operating a franchise or purchasing an existing business.

Each route offers a different combination of independence, support, cost and uncertainty.

Route	What the entrepreneur acquires or develops	Main consideration
Starting a new independent business	A new business concept, brand and operating system.	The entrepreneur must establish demand and develop operations.
Operating a franchise	Permission to use an established brand and, depending on the arrangement, its business system.	The entrepreneur pays fees and follows agreed requirements.
Buying an existing business	Existing assets or a business with an operating history.	The buyer must verify its condition, value and future prospects.

An established brand or operating history can provide useful evidence. However, the entrepreneur must still investigate whether the opportunity suits their resources, abilities and target market.

Example: A person interested in food services could develop their own takeaway, operate a food franchise or buy an existing restaurant. Their decision should consider available capital, experience, customer demand and the degree of independence they want.

2. What is franchising?

Franchising is a business arrangement in which an owner grants another entrepreneur permission to use its brand and specified business methods under agreed conditions.

The relationship normally involves two parties:

- The **franchisor**, which grants the franchise rights.
- The **franchisee**, which invests in and operates the franchised business.

The franchisee usually owns their business, but their decisions are subject to the franchise agreement.

For example, a franchisee may manage staff and daily operations while following requirements concerning branding, products, suppliers and customer service.

2.1 Key franchise terminology

Term	Meaning
Franchisor	The party that grants permission to use its brand and franchise system.
Franchisee	The entrepreneur or business that receives those rights and operates under the agreement.
Franchise agreement	The contract setting out the rights, responsibilities and conditions of the relationship.
Initial franchise fee	The payment required to enter the franchise system.
Royalty	A continuing payment to the franchisor, often calculated as a percentage of sales.
Advertising contribution	A payment towards agreed advertising or marketing activities.
Territory	The geographical area within which a franchisee may operate, subject to the agreement.
Operations manual	Guidance describing the franchise's operating procedures and standards.
Franchise disclosure document	Information about the franchisor and franchise opportunity, including relevant costs, restrictions and risks.

Important distinction: The initial franchise fee is only one part of the investment. The franchisee may also need premises, equipment, inventory, staff and working capital.

2.2 Franchising and the structure of the industry

Franchising is a way of organising and expanding businesses across different industries. It can apply to retail, food services, accommodation, transport, personal services and other activities.

The franchisor develops the system and coordinates the network. Franchisees invest in individual businesses or territories and deliver products or services to customers.

The relationship therefore combines **local business ownership** with **central standards and support**. Its effectiveness depends on both parties performing their responsibilities.

3. Franchising arrangements

The presentation identifies several arrangements. Some describe the business system being licensed, while others describe ownership, expansion or location. A franchise can therefore fit more than one category.

3.1 Product and trade-name franchising

The franchisee receives permission to sell specified products using the franchisor's name or trademark.

The relationship focuses mainly on the product and brand. The franchisor's control over the entire operation may be less extensive than in business-format franchising.

Illustrative example: An authorised dealer sells a manufacturer's products under an agreed brand arrangement.

3.2 Business-format franchising

The franchisee receives a broader business system. This may include:

- Brand identity.
- Operating procedures.
- Staff training.
- Marketing support.
- Customer-service standards.
- Purchasing arrangements.
- Reporting systems.

Illustrative example: A restaurant franchise provides approved recipes, outlet layouts, staff procedures and service standards.

The **Two Men and a Truck** case illustrates this arrangement because franchisees receive training and support covering operations, marketing, staffing and business systems.

3.3 Other arrangements

Arrangement	Explanation
Multiple-unit ownership	One franchisee owns and operates more than one outlet within a franchise system.
Area developer	An entrepreneur receives rights to develop several outlets within an agreed area, usually according to a schedule.

Arrangement	Explanation
Master licensee	A party receives rights over a larger territory and may have authority to recruit or support other franchisees, depending on the agreement.
Piggyback franchising	A franchise operates within another business's premises, such as a branded food outlet inside a larger retail location.
Co-branding	Two or more brands operate together at one location or through a combined offering.
Multibrand franchising	An owner operates franchises belonging to different brands, potentially across separate locations.

An **area developer** generally commits to developing outlets. A **master licensee** may also manage relationships with other franchisees. The exact rights depend on the agreement.

4. Advantages of franchising

4.1 Access to an established brand

Customers may already recognise the brand and understand its offering. This can help the franchisee attract attention and build customer confidence.

However, recognition alone does not guarantee sufficient demand in a particular location.

4.2 Access to an established operating system

The entrepreneur can use procedures developed through earlier business experience.

These may help with ordering, stock control, service delivery, record keeping and staff management. The franchisee may avoid some of the trial and error associated with developing systems independently.

4.3 Training and continuing support

Training can help a franchisee learn the technical and managerial requirements of the business. Continuing support may assist with operational problems and performance improvement.

In the supplied case, Two Men and a Truck provides training in moving techniques and business management. Students should treat this as evidence from the historical case rather than a statement about its current arrangements.

4.4 Marketing and purchasing support

A franchise network may organise advertising and negotiate purchasing arrangements across several outlets.

These arrangements can provide access to marketing materials, approved supplies and coordinated campaigns. The franchisee should still assess the actual costs and benefits.

4.5 Reduced uncertainty in some areas

An established system may provide evidence about how the business operates and what resources it requires.

Nevertheless, the franchisee still faces risks involving location, competition, cash flow, staff performance and customer demand.

5. Disadvantages and risks of franchising

5.1 Substantial costs

The entrepreneur may need a large initial investment and must meet continuing payment obligations.

Some royalties are based on revenue. This means a payment may be due even when the outlet makes little profit or operates at a loss.

5.2 Restrictions on decisions

The franchisor may control:

- Where the business operates.
- Which products or services it offers.
- Which suppliers it uses.
- Outlet appearance.
- Advertising.
- Opening hours.

Such controls can help maintain brand consistency, but they may limit the franchisee's ability to respond to local conditions.

5.3 Dependence on franchisor support

The franchisee may depend on the franchisor for training, systems, products or marketing.

If support is weak, the franchisee may struggle despite continuing to pay fees.

5.4 Reputation shared across the network

Poor service at one outlet may affect perceptions of the wider brand. A franchisee's reputation can therefore be influenced by events outside their own business.

5.5 Territorial and contractual concerns

The presentation highlights issues such as:

- **Encroachment:** A new outlet or distribution channel operates close enough to affect an existing franchisee's sales.
- **Churning:** An operation is terminated and resold to generate additional franchise fees.
- **Supplier conflicts:** Required purchasing arrangements may benefit the franchisor without offering good value to franchisees.
- **Unbalanced contract terms:** The agreement may give one party substantially greater control.
- **Renewal and exit restrictions:** Conditions may affect the franchisee's ability to renew, sell or leave the business.

These are matters to investigate. Students should not assume that every franchise displays these problems.

6. Understanding franchise costs

A prospective franchisee must estimate the **complete financial commitment**.

Cost category	Examples
Initial franchise fee	Payment to join the franchise system.
Investment costs	Premises, renovations, equipment, vehicles, signage and opening stock.
Royalty payments	Continuing payments for participation in the franchise system.
Advertising costs	Contributions to network marketing and any required local advertising.
Working capital	Funds for wages, rent, utilities, supplies and other operating expenses while cash flow develops.

Worked example: Revenue and franchise fees

Assume a hypothetical franchise has monthly revenue of **P100,000**, a royalty of **6%** and an advertising contribution of **1%**.

Item	Calculation	Amount
Royalty	P100,000 × 6%	P6,000
Advertising contribution	P100,000 × 1%	P1,000
Combined payments	P6,000 + P1,000	**P7,000**
Revenue remaining after these payments	P100,000 − P7,000	**P93,000**

P93,000 is not profit. The business must still pay for stock or materials, wages, rent, utilities and other expenses.

A franchise evaluation must therefore examine both profitability and the timing of cash receipts and payments.

7. Evaluating a franchise opportunity

Evaluating a franchise requires collecting evidence and checking whether the opportunity fits the entrepreneur's circumstances.

Step 1: Assess personal suitability

Ask:

- Do I understand the industry?

- Am I willing to follow standard procedures?
- Can I manage the daily operations?
- Do I have the required capital?
- How much financial risk can I carry?

An entrepreneur who strongly values freedom over products and branding may find a tightly controlled franchise difficult to operate.

Step 2: Investigate the market

Assess the proposed location and customer demand.

Consider the target market, competitors, accessibility, customer spending patterns and likely sales volume. A successful outlet elsewhere does not establish that the same demand exists locally.

Step 3: Investigate the franchisor

Examine its experience, operating history, support capability and franchise network.

Look for evidence of how outlets perform and how the franchisor responds to problems.

Step 4: Speak to existing and former franchisees

Ask about actual operating experience:

- Were start-up costs close to the estimates?
- Was training useful?
- What continuing support is available?
- How long did it take to develop stable cash flow?
- What difficulties have occurred?
- Why did former franchisees leave?

Use several sources rather than relying on one favourable account.

Step 5: Examine the financial requirements

Estimate total investment, continuing fees, operating costs and working capital.

Prepare realistic projections and consider what happens if sales are lower or costs are higher than expected.

Step 6: Review the agreement and supporting documents

Understand the provisions concerning territory, suppliers, fees, standards, renewal, termination and sale.

The presentation discusses franchise disclosure documents. Requirements differ between jurisdictions, so students should distinguish the general purpose of disclosure from the rules applicable to a particular transaction.

Step 7: Obtain independent review and make a decision

Accountants and appropriately qualified advisers can help assess financial assumptions and contractual commitments.

The final decision should reflect evidence about the opportunity and the entrepreneur’s ability to operate it.

8. Becoming a franchisor

A business owner may use franchising to expand through other entrepreneurs. However, the original business must have a system that others can reproduce.

The presentation identifies five considerations:

Consideration	Why it matters
Reproducible model	Other operators must be able to deliver the offering consistently.
Financial considerations	Both the franchisor and franchisees need a financially workable arrangement.
Required assistance	Franchisees need appropriate training and continuing support.
Operations manual	Procedures must be documented clearly.
Long-term value	The relationship must offer continuing benefits beyond the initial agreement.

A business that depends entirely on its founder's personal talent may be difficult to franchise until that knowledge becomes teachable and its operations become repeatable.

9. Four reasons for buying an existing business

9.1 Reducing uncertainties

An existing business has an operating history. Its records can help a buyer assess sales, costs, customer behaviour and operational challenges.

The history provides evidence, although future performance may change.

9.2 Acquiring ongoing operations and relationships

The buyer may acquire functioning equipment, experienced employees and established customer or supplier relationships.

These resources can help maintain operations, but the buyer must check whether key relationships will continue after ownership changes.

9.3 Obtaining a business at a favourable price

A purchase may cost less than establishing a comparable business from the beginning.

However, a low asking price may reflect declining demand, damaged equipment, liabilities or other problems. The buyer must investigate the reason for the price.

9.4 Entering the market more quickly

An operating business may allow the buyer to begin trading sooner than a new venture.

This depends on the business's condition and whether arrangements such as premises access and contracts can continue.

10. Finding a business to buy

Before searching, the entrepreneur should identify:

- Their interests and industry experience.
- Relevant talents and management skills.
- Preferred location and business size.
- Available investment.
- Acceptable level of risk.
- The amount of time they can commit.

These criteria help the buyer assess suitable opportunities rather than purchasing a business simply because it is available.

Business brokers may introduce buyers and sellers. The buyer must still conduct an independent evaluation.

11. Due diligence: Evaluating an existing business

Due diligence is the systematic investigation of a business opportunity before committing to it.

It helps a buyer verify the seller's claims, identify obligations and assess whether the business is worth the proposed price.

11.1 Financial investigation

Review available financial statements, tax records, sales records, bank statements, receivables, payables and borrowing arrangements.

The presentation recommends examining records over several years. Use the available history to identify trends rather than relying on a single strong period.

Ask:

- Are reported sales supported by evidence?
- Is the business profitable?
- Does profit translate into cash?
- Are customers paying on time?
- Are significant expenses missing?
- Does the business rely on a small number of customers?

Profit and cash flow differ: A credit sale may contribute to reported profit before the customer pays. A profitable business can therefore still experience cash shortages.

11.2 Operational investigation

Examine equipment, stock, premises, systems and staff capabilities.

Check whether assets require repairs or replacement and whether the business depends heavily on the current owner.

Example: A moving company may appear attractive because it owns several vehicles. However, vehicle condition and repair requirements can materially affect its value and operating costs.

11.3 Customer, supplier and market investigation

Assess customer retention, supplier reliability, competition and future demand.

Ask whether relationships belong to the business or depend mainly on the seller's personal connections.

11.4 Contracts and outstanding obligations

Identify relevant leases, customer agreements, supplier arrangements and other commitments.

Determine what obligations exist and which arrangements can continue after the purchase. The implications depend on the proposed transaction and require appropriate review.

11.5 Reasons for sale

Understand why the owner is selling.

Possible explanations include retirement, a change in interests, financial pressure or weakening demand. Check the explanation against business records and other evidence.

Due-diligence summary

Area	Core question
Finances	Are performance claims supported by reliable records?
Assets	What is their condition and realistic value?
Customers	Will demand and relationships continue?
Staff and systems	Can operations continue without the seller?
Obligations	What commitments could affect the buyer?
Market	What are the business's future prospects?

12. Valuing an existing business

The **asking price** is the seller's requested amount. **Valuation** assesses what the business may be worth using evidence and stated assumptions.

12.1 Asset-based valuation

This approach focuses on the value of relevant assets and liabilities.

A simplified starting point is:

Net asset value = Fair value of assets − Relevant liabilities

For example, if relevant assets have a fair value of **P500,000** and liabilities are **P180,000**, the net asset value is **P320,000**.

The liabilities included depend on what the buyer is acquiring. This calculation may also fail to capture the full value of customer relationships, reputation and earning capacity.

12.2 Market-comparable valuation

This approach considers prices paid for similar businesses.

Useful comparisons should account for differences in size, location, profitability, assets and risk. Finding genuinely comparable transactions can be difficult.

12.3 Cash-flow-based valuation

This approach considers the cash the business is expected to generate and the return required by the investor.

Its reliability depends on realistic forecasts. Expected cash flow should account for necessary expenditure, including maintenance, replacement equipment and working capital.

Comparing the approaches

Approach	Main focus	Main limitation
Asset-based	Assets and relevant liabilities.	May overlook earning capacity and goodwill.
Market-comparable	Prices of similar businesses.	Suitable comparisons may be unavailable.
Cash-flow-based	Expected future cash generation.	Sensitive to forecasts and risk assumptions.

Using more than one approach can help a buyer understand why estimates differ.

13. Non-financial factors affecting value

Financial records alone do not explain a business's future prospects.

The presentation identifies considerations such as competition, market conditions, future community development, buildings, product prices and contractual commitments.

Other useful questions include:

- Is the location becoming more or less attractive?
- Does the business have a strong reputation?
- Are customers likely to remain after the sale?
- Are key employees willing to stay?
- Will new competitors affect demand?
- Does the business need substantial operational improvement?

A business with good past results may still face weakening prospects.

14. Negotiating and closing a purchase

After investigation and valuation, the parties negotiate the terms.

They must clarify what the buyer receives, the purchase price, payment arrangements and how outstanding matters will be handled.

Asset purchase and entity purchase

Structure	General distinction
Asset purchase	The buyer acquires specified assets, such as equipment, inventory or other agreed rights.
Entity purchase	The buyer acquires ownership interests in the existing entity.

The structure affects what transfers and what obligations may remain relevant. Students should understand the distinction without assuming that every purchase works in the same way.

Closing involves completing the agreed documentation, payment and transfer arrangements. Professional assistance can help ensure that the transaction reflects the agreed terms.

15. Case connection: Two Men and a Truck

Use the supplied case to connect the chapter's concepts to a business example. Its dates, fees and operating figures are historical.

Case feature	Chapter concept
Use of a common brand	Franchisor and franchisee relationship.
Training in operations and management	Business-format franchising.
Initial fee and start-up expenditure	Total investment requirements.
Revenue-based royalty and advertising contribution	Continuing franchise costs.
Defined marketing areas	Territorial arrangements.
Continuing support and purchasing systems	Potential franchise benefits.

When analysing the case, explain **why** a feature matters. For example, practical training may help maintain service standards, while continuing fees affect the outlet's financial performance.

16. Supplementary concepts: Independent contracting, gig and sharing economies

Concept	Meaning	Example
Independent contracting	Providing an agreed service while operating independently.	A freelance photographer completing a client assignment.

Concept	Meaning	Example
Gig economy	Work organised around individual tasks or short engagements, often through platforms.	A designer completing separate projects for different clients.
Sharing economy	Providing temporary access to assets or resources, often through platforms.	Offering a spare room for short stays.

These concepts can overlap. An independent contractor may obtain projects through a gig platform.

Promoting a business online does not automatically make it part of the sharing economy. The nature of the activity matters.

Chapter summary

Franchising gives entrepreneurs access to an established brand and operating system, alongside costs and restrictions. A suitable franchise requires careful investigation of the franchisor, market, financial requirements and agreement.

Buying an existing business can reduce some uncertainties, provide established operations, offer a favourable purchase price and allow quicker entry. The buyer must verify those benefits through due diligence and valuation.

In both routes, the entrepreneur should base the decision on **verified evidence, realistic financial expectations and personal suitability**.

Revision questions

1. Distinguish between a franchisor and a franchisee.
2. Compare product and trade-name franchising with business-format franchising.
3. Explain three benefits and three disadvantages of franchising.
4. Why is the initial franchise fee different from the total investment?
5. Describe the process for evaluating a franchise opportunity.
6. Explain four reasons for buying an existing business.
7. What is due diligence, and which areas should it cover?
8. Compare the three valuation approaches.
9. Why might a profitable business experience cash-flow problems?
10. How could ownership change affect the value of an existing business?